ARDEN ECONOMIC DEVELOPMENT AUTHORITY — ANNUAL REPORT ON INDUSTRY REVENUE

Most recent completed year

1. SUMMARY

Total revenue of Arden industries was $102,500 million, an increase of 3.1 per cent on the prior year. Revenue is measured as gross receipts and is not value added; the two should not be compared.

The fossil fuel sector — extraction, refining and distribution — accounted for $4,100 million. The Authority notes that this is approximately four per cent of the total and that the proportion has been stable within half a percentage point for five years. The sector's establishments number 1,470.

2. COMPOSITION

The largest sectors by revenue are retail trade, health care and social assistance, manufacturing and tourism and accommodation. Tourism and accommodation grew 6.0 per cent, the fastest of the major sectors, and is concentrated in the coastal counties and on the offshore islands. The sector table is annexed.

3. RENEWABLE ENERGY

Renewable generation and equipment reached $3,120 million, or about three per cent of the total. Growth has been driven by offshore wind construction and by equipment manufacture for export. The Authority does not treat this sector as competing with fossil fuel distribution for statistical purposes; the two serve overlapping end uses but are separately classified.

4. EMPLOYMENT AND WAGES

Covered employment was 849 thousand. Average annual wage was $61,862. The fossil fuel sector's average wage was $97,370, the highest of any sector reported.

5. CAUTION ON COMPARISONS

Revenue attributed to a sector is the revenue of establishments classified to it, not the revenue of the products it sells. A company selling several classes of product is classified by its principal activity. Users seeking product-level revenue should consult the companies' own disclosures.

6. METHOD AND ITS LIMITS

Revenue is collected on the Authority's annual establishment survey, supplemented by administrative data from the Department of Revenue for establishments that do not respond. Response was 71.4 per cent by establishment and 96.0 per cent by revenue. Non-response is imputed by industry mean, which understates dispersion within an industry and should not be relied on for any single industry with few establishments.

An establishment is classified by its principal activity, measured by revenue. A company operating in several industries is therefore counted wholly in one. This matters for the fossil fuel sector, whose larger participants also sell electricity, chemicals and services: their non-fuel revenue is inside the sector total and their fuel revenue is not separately identified. Users needing product-level revenue must go to the companies.

7. MULTI-YEAR COMPARABILITY

The Authority revised its industry classification in the second year of the current series, moving 304 establishments between sectors. Comparisons across that break are not reliable at the sector level. The fossil fuel sector was affected by the reclassification of 32 establishments engaged in both distribution and transportation.

8. RELATION TO OTHER PUBLISHED SERIES

The Authority's revenue figures are not comparable with the State Energy Office's sales series: the Office measures receipts from the sale of fuel by seller of record, while the Authority measures the revenue of establishments classified to the sector. The two answer different questions and will not agree. Neither is comparable with gross state product, which is a value-added measure.

Annexes: sector revenue table; establishment counts; employment and wages by sector.